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HE9E 46

Contemporary Business Issues (SCQF level 6)

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Introduction – Why Businesses Have Life Cycles

- Every organisation behaves like a living organism; it **starts small, grows, matures, and may decline** unless renewed.

- Just like people, businesses must **adapt** to survive changing environments.

- **Example:** Apple, Amazon, or even a local café. Was it always successful? It started small, faced struggles, and grew by learning. That journey is what we call the *business life cycle*."

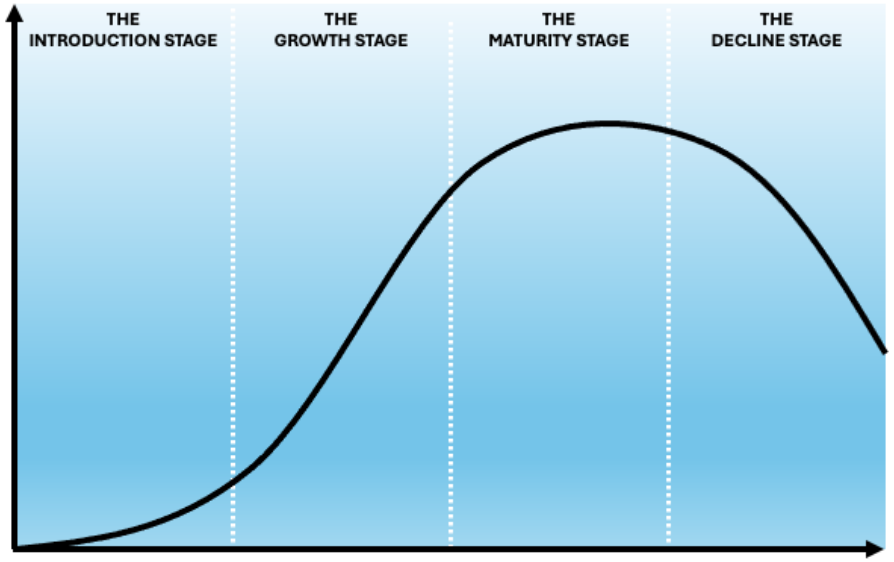
BUSINESS CYCLE

- A business life cycle is the series of stages a product, business, or industry goes through from inception and growth to eventual decline.

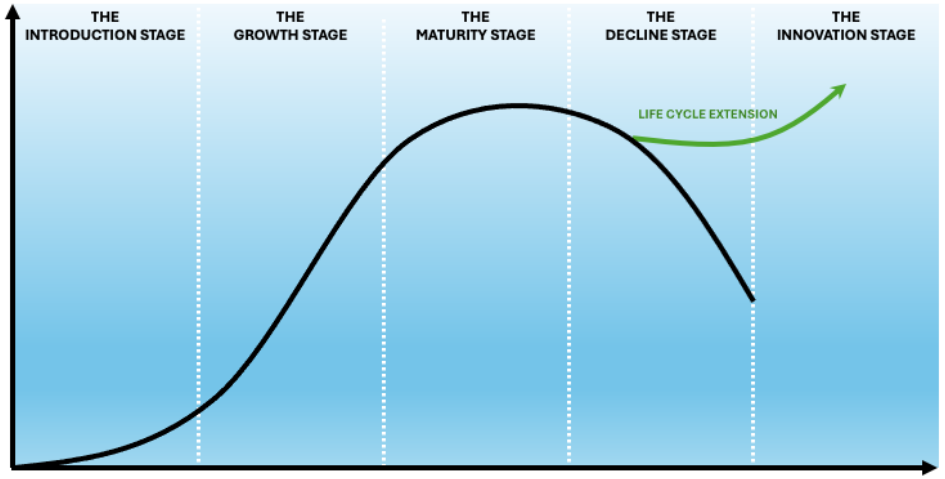
- The business life cycle is the progression of a business through distinct phases over time, typically including **launch (or startup), growth, maturity, and decline**.

- Each stage presents unique challenges and requires different strategies for sales, profit, cash flow, and management.

THE 2024 BUSINESS LIFE CYCLE



THE 2025 BUSINESS LIFE CYCLE



Launch/Startup: A new business is introduced to the market. It's characterised by low sales, a high need for initial funding, and challenges such as managing cash reserves, building a customer base, and establishing market presence.

Start-Up Stage

- The **Start-Up Stage** marks the beginning of the business life cycle, **when an idea becomes a real venture.**
- At this stage, entrepreneurs test the feasibility of their concept, often with minimal resources and high uncertainty.
- It is a period of **innovation, risk-taking, and adaptability**, laying the foundation for future growth.

Key Characteristics:

- The business model is new and untested.
- Founders typically work with a small, close-knit team.
- Initial funding comes from savings, friends, family, or small investors.
- Market awareness is low, and customer trust is yet to be built.
- Risk levels are high and profitability is uncertain.

Core Mindset:

- “Validate the idea before scaling.”
- Start-ups that rush into expansion without testing their model often fail early.
- Hence, the focus should be on learning, iteration, and building a foundation for sustainable growth.

Objectives at the Start-Up Stage

The main objectives of the start-up stage are **validation and survival**. Every decision from product development to marketing must align with proving that the idea works in the real market.

a) Develop and Validate the Business Idea

- Conduct thorough market research to identify customer pain points.
- Create a prototype or minimum viable product (MVP).
- Test the idea with a small set of users to gather feedback.

Example:
A food start-up in Guyana may test new pepper sauce flavours at local fairs before scaling production.

b) Secure Initial Funding

- Use personal savings or seek support from family/friends.
- Explore government grants or local small business funding (e.g., India's *Startup India*, Guyana's *Small Business Bureau*).
- Consider crowdfunding or angel investment for early growth.

c) Build the Core Team

- Hire passionate individuals who share the company vision.
- Emphasise versatility and a problem-solving attitude over specialisation.
- Focus on trust, communication, and shared purpose.

d) Create Market Awareness

- Use **cost-effective marketing channels such as** social media, digital ads, and community networking.
- Engage with early customers through feedback loops and storytelling.
- Build a strong online presence to increase visibility.

e) Achieve Early Sales or Proof of Concept

- The first paying customer is a significant milestone; it validates business potential.
- Focus on improving based on feedback and achieving **break-even** quickly.
- Celebrate early wins to motivate the team and attract investors.

Challenges Faced by Start-Ups

- Launching a start-up is thrilling but filled with obstacles. Globally, around **70% of start-ups fail within the first five years**, often due to predictable issues.

a) Limited Funding

- Raising initial capital is the toughest challenge. Banks are risk-averse, and investors seek quick returns.
- *Guyana Example:* Many agro-processing entrepreneurs struggle with collateral requirements.
- *India Example:* Start-ups often depend on small angel investments and government schemes.

b) Uncertain Market Demand

- Many founders assume customers will love their product only to find low real-world interest. Market research and pilot testing are crucial to reduce this risk.

c) Lack of Experience and Business Skills

- Founders may excel in their product or service but lack skills in finance, operations, or HR. Poor record-keeping and budgeting can quickly derail early growth.

d) Strong Competition

- Established players can easily overshadow new entrants. Start-ups must stand out by focusing on niche markets or innovative business models.

e) Technology and Infrastructure Constraints

- In developing economies, limited logistics, unreliable electricity, or weak internet access can hinder progress.

f) Balancing Growth and Quality

- When demand suddenly rises, maintaining consistent quality and service becomes difficult. Scaling must be gradual and strategic.

g) Emotional and Mental Stress

- Entrepreneurs often work long hours under intense uncertainty. Stress, burnout, and isolation are common in the early stages.

Example + Tesla (Start-Up Journey)

- **Founded:** 2003 by Martin Eberhard and Marc Tarpenning, with early investment from **Elon Musk**
  Industry: Electric Vehicles (EVs)
- Tesla began with a bold vision *to make electric cars exciting and sustainable*. During 2003–2008,

Challenges Tesla faced:

- High R&D costs
- Supplier challenges
- Public skepticism about electric vehicles
- In 2008, the company nearly went bankrupt during the financial crisis. Elon Musk invested his personal fortune to keep it afloat. Their first product, the **Tesla Roadster**, proved that electric vehicles could be high-performance and desirable.

Outcome:
Tesla redefined the automotive industry and became a leader in innovation, now valued at over **$600 billion**.
Its success stemmed from persistence, risk-taking, and vision-driven leadership.

Key Lesson:

- "Start-ups that challenge the norm face the hardest battles — but also achieve the biggest impact."

Pomeroon Oil Inc. (Guyana)

Background

- **Pomeroon Oil Inc.** is a Guyanese agro-processing start-up established in the mid-2010s.
  The company was founded by **local entrepreneurs** with the vision to produce **high-quality, cold-pressed coconut oil** and other natural products from locally sourced coconuts grown in the **Pomeroon–Supenaam region**.
- Guyana's Pomeroon area is rich in coconut plantations, but for decades, most coconuts were sold raw or wasted due to a lack of processing capacity.
- This start-up emerged to **add value** to local agriculture, empower small farmers, and promote sustainable livelihoods.

Start-Up Stage Focus

- At the **start-up stage**, Pomeroon Oil Inc. concentrated on **transforming raw resources into export-ready products** through innovation and technology.

Initial Activities:

- Conducted research on the **market demand for organic coconut oil** in the Caribbean, North America, and Europe.
- Started small-scale **processing operations** using solar-powered dryers and cold-pressing technology.
- Built partnerships with **local farmers** to ensure a consistent supply of coconuts.
- Invested in **eco-friendly packaging** to appeal to sustainability-conscious consumers.
- Their core mission was not just profit but **rural empowerment and environmental stewardship**.

Objectives at Start-Up Stage

Objective	Action Taken	Outcome
Validate Business Idea	Tested market response to small batches in local stores and online sales.	Proved strong demand for “Made in Guyana” natural oils.
Secure Funding	Applied for grants through the **Small Business Bureau (SBB)** and attracted support from **Guyana REDD+ initiatives** for sustainable agriculture.	Gained initial capital to scale operations.
Build a Core Team	Hired local youth and women, trained them in processing and quality control.	Developed skilled workforce in a rural area.
Create Market Awareness	Promoted through local trade fairs, eco-expos, and social media.	Increased visibility of the brand regionally.
Achieve Early Sales	Sold products to supermarkets and regional buyers.	Achieved early profitability by year two.

Challenges Faced by Pomeroon Oil Inc.

1. **Infrastructure & Logistics:**
    1. Poor rural road conditions delayed the transportation of coconuts from farms to the factory.
    2. Power outages initially affected production schedules.
2. **Funding Constraints:**
    1. Banks required collateral that small businesses often lacked.
    2. The founders relied on a mix of **personal savings**, **development grants**, and **micro-loans** from the SBB.
3. **Market Entry Barriers:**
    1. Competing with cheap imported oils was difficult.
    2. They differentiated through **premium quality**, **organic certification**, and **sustainability branding**.
4. **Supply Chain Consistency:**
    1. Ensuring a steady supply during seasonal fluctuations required collaboration with multiple farmers and co-ops.

Innovative Strategies

- **Sustainability Branding:** Marketed products as eco-friendly and "empowering local farmers," appealing to international buyers.
- **Technology Adoption:** Introduced solar-powered drying systems to reduce costs and reliance on fuel.
- **Digital Outreach:** Created an online presence to reach global eco-conscious customers and investors.
- **Partnerships:** Collaborated with NGOs and local cooperatives for training and export facilitation.

Outcomes and Growth

- Within a few years, Pomeroon Oil Inc. transitioned from a small local initiative to a **recognised brand** in Guyana's agro-processing sector. It achieved:
- **Employment generation** for rural communities (especially women).
- **Export readiness**, with regional buyers in Trinidad and Barbados.
- **Partnerships** with sustainability programs under Guyana's *Green State Development Strategy (GSDS)*.
- Today, it stands as an example of how a **Guyanese start-up can succeed through innovation, inclusivity, and sustainability,** even with limited resources.

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The Start-Up Success Formula

Element	Description	Example
1. Problem-Solving Product	Must solve a real need	MamaEarth – toxin-free baby products
2. Passionate Leadership	Committed, visionary founders	Tesla – Elon Musk's resilience
3. Customer-Centric Approach	Listen, iterate, improve	Zomato's continuous upgrades
4. Lean Operations	Control costs and optimize	Guyana small agro-SMEs
5. Innovation & Agility	Adapt to new opportunities	Netflix pivoted to streaming
6. Strong Digital Presence	Leverage social media and e-commerce	MamaEarth, Swiggy
7. Smart Funding	Grow sustainably	Tesla's staged investments
8. Resilience & Learning	Fail fast, learn faster	Starbucks early franchise recovery

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Thank You

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